Understand IRS tax forms issued by Microsoft

Appropriate roles: Owner and Financial Contributor

You might receive one or more tax forms from Microsoft each year, depending on your sales, your location, and the number of payments you receive. Microsoft is required to issue these forms and file them with the Internal Revenue Service (IRS).

This article will help you to understand these tax forms, including who receives them and when they're available.

Types of tax forms

Expand table

IRS tax form	Description	Availability
1099-MISC, 1099-K	Related to sales activity and/or payments made to you for participation in Microsoft Marketplace	Printed forms are postmarked on or before **January 31**.
1042-S	Related to payments made to you that are subject to United States withholding tax	Printed forms are postmarked on or before **March 15**, and .pdf copies are available in Partner Center (in **Partner Center Developer Settings** under **Payout and tax** > **Payout and tax profiles**) at the same time.

> **Note**
>
> Tax forms are sent to the address you entered in your tax profile when you set up your payout account and tax forms. If your address has changed, be sure to update the address in your **Tax profile**.

The tax forms are sent to you from the following addresses:

Expand table

Business Group	Legal Entity	Address
Windows, Office, Azure, Minecraft, MS Flight Simulator, Bethesda Games	Microsoft Corporation	One Microsoft Way Redmond, WA 98052

Business Group	Legal Entity	Address
		USA
Advertising	Microsoft Online, Inc.	6880 Sierra Center Parkway Reno, NV 98511 USA

For developers who are US Persons (under US tax law)

Expand table

If I'm a United States developer selling paid apps and...	I should receive this form:
I had **greater than 200 app sales** with a total purchase amount of these sales **greater than USD20,000** in the applicable tax year (**not** counting sales made in Brazil and China through the Microsoft Store on Windows 10.)	**1099-K:** Filer: Microsoft Corporation EIN: *****4442 **Important:** Form 1099-K contains **gross purchase** amounts, not payments made to you. **How do I the reconcile 1099-K tax form with payout statements?** - Starting in tax year 2021, any unpaid orders and any transactions that aren't eligible for partner earnings are excluded from gross revenue. - All paid earnings accrued from January 1 to December 31, 2021 are included, except for Microsoft Marketplace program earnings from the country/region Brazil, and Microsoft Store program earnings from Brazil and China.
I received **at least USD10 in payments** for (i) app sales made in Brazil or China through the Microsoft Store on Windows 10 or (ii) sales in the Minecraft Marketplace or MS Flight Simulator Marketplace. **OR** I received at least USD600 in payments not related to app sales from Microsoft in the applicable tax year (for example, incentive payments or payments from a contest or promotion).	**1099-MISC:** Payer: Microsoft Corporation EIN: *****4442 **Important:** Certain business entities won't receive 1099-MISC forms regardless of the payment amounts received from Microsoft. For more information, see your tax professional.
None of the preceding apply.	None

If I'm a United States developer selling paid apps and...	I should receive this form:
If I'm a United States developer selling ads in apps and...	**I should receive this form:**
I received **at least USD600 in payments** from ads in apps in the applicable tax year.	**1099-MISC:** Payer: Microsoft Online, Inc EIN: *****0505 **Important:** Certain business entities won't receive 1099-MISC forms regardless of the payment amounts received from Microsoft. Consult your tax professional for more information.
I received **less than USD600 in payments** from ads in apps in the applicable tax year.	None

For developers who are Foreign Persons (under US tax law)

Expand table

Question	Answer
I received a form 1042-S from Microsoft. What is it for?	Microsoft has provided you with a 1042-S form or forms because we paid you revenue that is considered reportable to the United States tax authorities and was subject to withholding tax. Form 1042-S is used for this reporting requirement.
What should I do with the forms?	Generally, no action is required on your part. Form 1042-S might be useful to you if you want to apply to your local tax authorities for any form of tax credit. Consult with your own tax advisors to get more information on this subject.
Why was tax withheld on my payments when I completed a W8 form?	Taxes are withheld if either: - You didn't complete the tax treaty section of the W8 correctly, or - You're a resident in a country/region that doesn't have a tax treaty with the United States. You can visit Partner Center at any time to submit an updated W8 form. **Note:** Not all income is subject to tax withholding.
I submitted an updated W8 form with valid treaty information. Can Microsoft refund me the tax that was withheld?	After tax has been withheld, it can't be refunded. Contact your tax advisors to discuss whether you can claim a local credit for these taxes, or whether you can seek a refund from the IRS.
What sales are reported on form 1042-S?	Only sales made **to buyers located in the United States that were classified as subject to tax withholding** are reportable. All other sales aren't considered reportable.

Question	Answer
Why did I get three copies of the same form 1042-S in one envelope?	IRS regulations require three copies of the form to be provided: - One for the recipient's records - One for filing with a United States Federal tax return (if applicable) - One for filing with a United States state tax return (if applicable)
How do I the reconcile 1042-S tax form with Partner Center payout statements?	Partner Center payouts are issued in selected Target Currency using the monthly currency exchange rate at month of transaction. All US Tax Forms are reported in USD and use the monthly currency exchange rate at month of payout. This may result in slight differences from a reporting perspective.

> **Note**
>
> If you have additional questions or concerns related to **IRS tax forms**, go to **Help + support** in the Partner Center. Microsoft can't answer questions related to your specific tax circumstances. For those questions, seek advice from your tax professional.

For more information about whether you're a US Person or Foreign Person under US tax law, see Classification of Taxpayers for U.S. Tax Purposes .

Related content

- Getting paid in Microsoft Marketplace

Last updated on 02/06/2025